STRATEGY

APPROACH TO STRATEGY

VISION

Mission | Values | Goals

FOR THE ECONOMY | IN TO THE SOCIETY | WITHIN THE GOVERNANCE | TO THE ENVIRONMENT

Expand the core

Business ecosystems
Updating our product range and customer reach through partnerships with fintechs and telcos

Strengthen the core

Digitisation
Building on existing digital and analytics capabilities to improve end-to-end customer journeys and drive growth

Customer acquisition
Delivering front-line training programmes to increase cross-selling and drive growth

Business systems
Enhancing the technology platform and cyber security practices while improving the speed of delivery

Distribution
Optimising the branch footprint through additional distribution opportunities

Expand the core

Digital MSME
Developing digital lending for the Micro Small and Medium Enterprises (MSMEs)

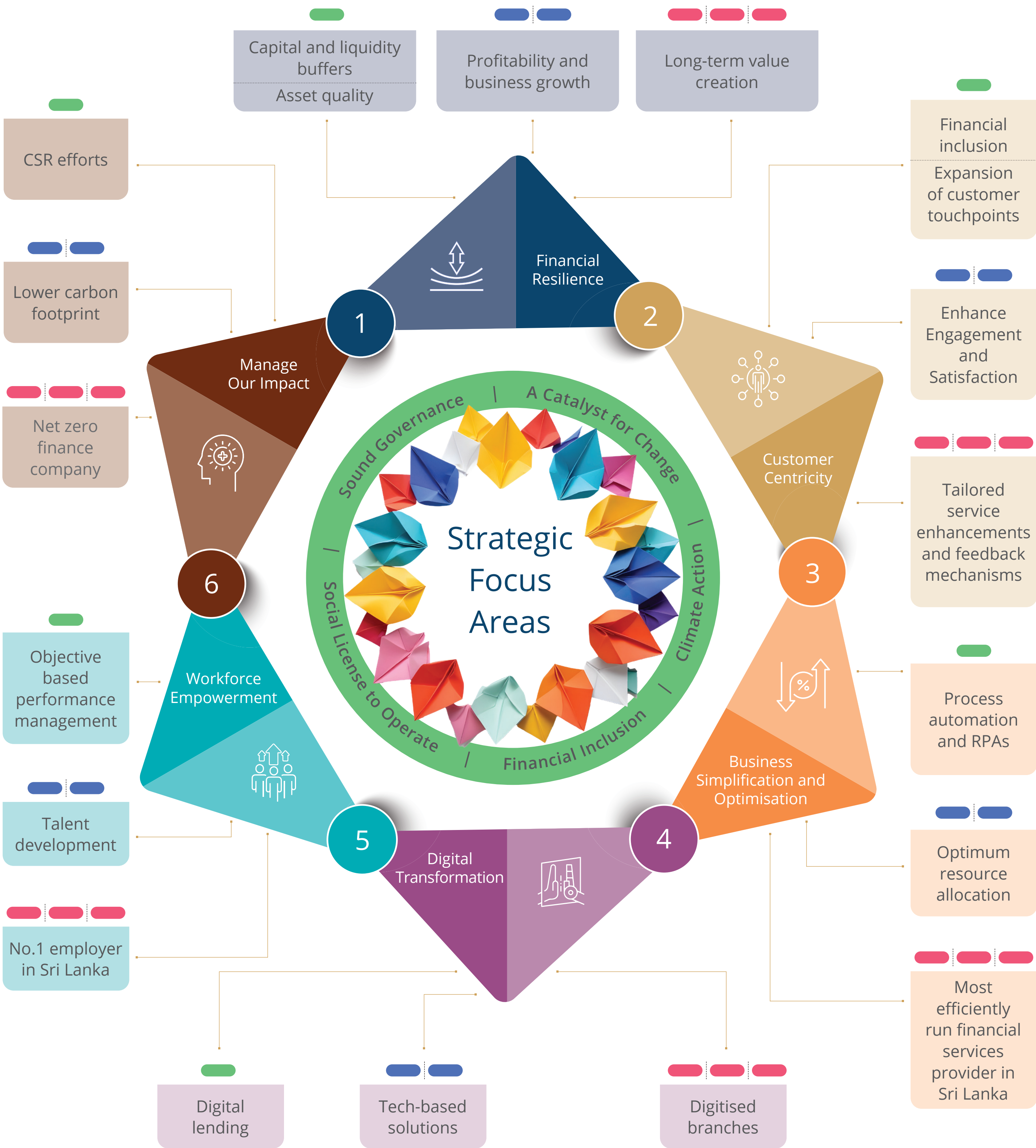
DRIVEN BY OUR SUSTAINABILITY LEVERS

- Financial Stability
- Positive Environmental Impact
- Inclusive Growth
- Great Work Place

STRATEGIC PILLARS

- Financial Resilience
- Customer Centricity
- Business Simplification and Optimisation
- Digital Transformation
- Workforce Empowerment
- Manage Our Impact

CONNECTIVITY OF STRATEGIC DRIVERS



Short Medium Long

1 2 3 4 5 6 7

1 FINANCIAL RESILIENCE

KPIs

Liquidity ratio

CAR >2% more than the regulatory requirement

Net NPL <1%

ROE, ROA

EVA, MVA

Progress for the year

EVA **Rs. 1.8 Bn**	Liquidity ratio **23.48%**
MVA **Rs. (8.8) Bn**	Net NPL <1% **(0.79)%**
ROE **23.40%**	ROA **4.97%**

Value creation activities

- Maintained sufficient capital and liquidity buffers
- Improved asset quality levels
- Strengthened credit risk rating based lending practices
- Maintained profitability

Focus for 2024/25

Enhance profitability

Related Capitals

FC

Related Sustainability Levers

Resource allocation

- Investment on continuous improvement of the Eclipse core banking system enabling capacity expansion and accurate decision making
- Enhance team strength
- Optimum resource allocation for non-vehicle financing products

Challenges

- Volatility in the operating environment
- Economic recovery and economic activities were slower than anticipated
- Continued pressure on repayment capacity of customers
- Continuation of vehicle import restrictions
- Frequent changes in the Fiscal Policy

2 CUSTOMER CENTRICITY

KPIs

New branches opened

Brand ranking

Brand value

Progress for the year

No. of new branches opened
08

Brand ranking **25**	Brand value **Rs. 3,597 Mn** (Brand Finance)

Value creation activities

- Focused growth in female participation to increase financial inclusivity
- Optimised customer reach through existing distribution channels and while adopting digitised distribution networks

Focus for 2024/25

Brand building to drive digital channel expansion

Related Capitals

SC HC

Related Sustainability Levers

Resource allocation

- Investment on land and building
- Investment on digital channels and related developments
- Investment on staff training on customer service standards

Challenges

- Increased branch setup cost
- Customer resistance to change into digital channels
- Brand building and challenges in communication channels
- Implementation of financial consumer protection framework

3 BUSINESS SIMPLIFICATION AND OPTIMISATION

KPIs

Process automations

Growth in volumes of digital transactions volume

Progress for the year

RPAs system implementation

52% growth in CIM transaction volume

Value creation activities

- Enhanced efficiency through process automation and RPAs
- Evaluated core and non-core activities for better internal resource allocation

Focus for 2024/25

Lean management

Related Capitals

IC MC

Related Sustainability Levers

Resource allocation

- Investment on RPAs
- Investment on analytical tools
- Investment on process automation
- Investment on human capital - specific training to IT Staff

Challenges

- Frequent changes in underlying technologies
- Employee resistance towards automations

4 DIGITAL TRANSFORMATION

KPIs

Digitally active customers

System and CIM app downtime

No. of CIM app downloads

Progress for the year

Digitally active customers
+200,000

No. of CIM app downloads
+200,000

CIM app downtime
0.41%

Value creation activities

- High focus and priority for digital lending
- Implemented tech-based solutions for customer onboarding, customer service and internal processes

Focus for 2024/25

Enriching the digital journey of the customers

Related Capitals

IC SC

Related Sustainability Levers

Resource allocation

- Investment in data security
- Investment in customer care operations
- Investment in human capital specific, IT related training to staff

Challenges

- Cyber security related threats and vulnerabilities
- Implementation of data protection regulations
- Evolving digital need of customers
- Customer complaints

5 WORKFORCE EMPOWERMENT

KPIs

Employee training hours

Gender parity

Employee promotions

Progress for the year

Employee training hours
43,127

Gender parity (M : F)
1 : 0.85

Employee promotions
1,037

Value creation activities

- Further improved our objective-based performance management process across the Company
- Continued to invest in talent development

Focus for 2024/25

Retain and empower talented staff

Related Capitals

HC SC

Related Sustainability Levers

Resource allocation

- Employment compensations
- Investment in employee engagement activities
- Investment in physical and mental well-being
- Investment in training and development

Challenges

- Brain drain
- Talent staff acquisition
- Management of employee mental well-being due to uncertainties in the socio-economic environment

6 MANAGE OUR IMPACT

KPIs

Carbon footprint

Investment in CSR

Green financing

CSR projects

Progress for the year

Carbon footprint
3,982 tCo_2e

Investment in CSR
Rs. 20.20 Mn

Green financing
Rs. 5.05 Bn

No. of CSR projects
22

Value creation activities

- Further optimised CSR efforts to maximise impact
- Increased geographic presence
- Lowered carbon footprint

Focus for 2024/25

Climate resilience

Related Capitals

SC NC

Related Sustainability Levers

Resource allocation

- Investment on renewable energy generation at branches
- Investment on training
- Investment on carbon credits

Challenges

- New standard and regulatory implementation
- Quantification of scope 3 GHG emissions